

Obayashi Corporation

TSE: 1802 JT — Record margins, net cash, a stock 32% off its high

RATING: ACCUMULATE

12-MO TARGET: ¥3,500 (+16%)

Reference price ¥3,008 (30 Sep 2026) | 52-wk range ¥2,891–4,439

Mkt cap ¥2,081bn | Net cash ¥84bn | EV ¥1,997bn

8.2x

EV/EBITDA (c.7x after cross-holdings) — regression implies c.23% EV/Sales discount

8%

FCF yield proxy (CFO + investing CF), plus 6–7% shareholder-return yield

¥3,384

Probability-weighted value (30/50/20 bear/base/bull)

Accumulate: a conservative-guiding, net-cash contractor with a re-rating already partly given back

7.5% FY3/26 operating margin (2.1% in FY3/22)	¥84bn Net cash† plus ¥289bn cross-holdings	12x Trailing P/E; 13.3x on guidance	¥3,500 12-mo target (+16%)	30% Bear-case probability (¥2,354)
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Why now

- **Guidance is a sandbag:** FY3/26 net income guided to ¥100bn, delivered ¥174bn; FY3/27 OP guided –7.5% with Q1 at 19.9% of the ordinary-profit guide vs 16.2% norm
- **Cheap vs peers:** 7-peer regression (R² 0.86) implies 0.95x EV/Sales vs 0.77x actual
- **Self-help:** DOE c.5%, ¥100bn buyback programme, cross-holdings cut to 20% by Mar-2027
- **Stock down 35%** from Feb-26 peak on margin-peak and order worries

What has to go right

- Completed-works gross margin holds near 13% as new, lower-margin jobs enter
- No large fixed-price loss from Middle East-driven material disruption or Multiplex
- Orders (Q1 –7.2%) stabilise; developers do not defer on higher rates (BOJ 1.25%†)
- Securities-gain-flattered EPS (FY3/26 ¥249; underlying c.¥205–215) is read correctly

Sizing: event-light, domestic-cyclical large-cap. Takeover is not the thesis (<5% probability); the case rests on earnings beats, capital return and a modest re-rating.

Obayashi at a glance: Japan's #2 super-contractor, c.86% of profit from Japan

What it does

- Designs and builds offices, data centres, factories, hospitals, tunnels, dams and rail; fixed-price contracts paid on progress
- Overseas c.33% of sales: US (Webcor, Kraemer, MWH, GCON), Asia; Multiplex (AU/UK/CA) pending
- Property arm: development and leasing; lumpy, high margin

FY3/26 by division (¥bn)

Division	Sales	OP	Margin
Domestic building	1,138.8	104.0	9.1%
Domestic civil	426.6	40.9	9.6%
Overseas building	508.0	11.9	2.3%
Overseas civil	336.0	14.7†	4.4%
Real estate/other (derived)	177.0	23.0	c.13%
Group	2,586.3	194.7	7.5%

Where the power sits

- **Upstream:** steel (Nippon Steel, JFE, Tokyo Steel), cement (Taiheiyo, UBE Mitsubishi), equipment (Mitsubishi Electric, Hitachi, Daikin, Kinden): price-taker, passes through with a lag
- **Midstream:** Obayashi design-build integration; capacity (labour) is the scarce asset
- **Downstream:** public clients (MLIT, NEXCO, JR Tokai) and developers (Mitsui Fudosan, Mitsubishi Estate, Mori Building)†

Most distinctive fact: a four-firm oligopoly whose margin tripled on scarcity pricing, not product differentiation. The moat is cyclical.

Re-rated from <1x book to c.2.3x, then 35% lower since February

Key levelst

Level	Price (¥)	Date
All-time high	4,439	27 Feb 2026
YTD low	2,891	19 Aug 2026
Last close	3,008	30 Sep 2026
~5 yrs ago	c.1,000 (approx.)	Late 2021

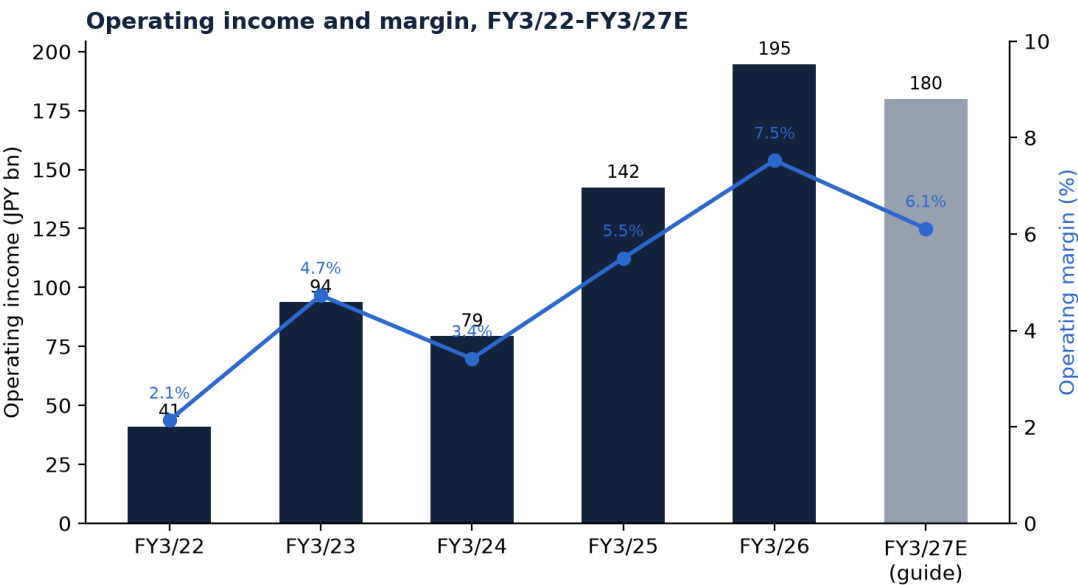
No daily series was retrievable; only one single-day move above 10% could be dated (5 Mar 2024, limit-up).

Net income exceeded ordinary income in FY3/26 (85%) — an estimated ¥30–35bn of one-off gains. Underlying EPS ≈ ¥205–215.

Key catalysts

- Nov 2022: FY3/23 forecast cut on building cost inflation
- Jun 2023: Silchester special-dividend proposal, 26.8% support
- Mar 2024: capital policy (DOE c.5%, ROE 10%+); limit-up
- May 2025: FY3/26 NI guided –32%; shares c.–9% intraday; outcome +74% vs guide
- Feb 2026: all-time high ¥4,439
- May 2026: FY3/27 NI guided –9.6%; –7.8% intraday
- Jun 2026: Multiplex acquisition (US\$540m)
- Aug 2026: Q1 OP +107%, orders –7.2%; low ¥2,891

Operating income up 4.7x in four years; FY3/27 guided down but historically beaten



¥bn	FY3/24	FY3/25	FY3/26	FY3/27E
Sales	2,325	2,591	2,586	2,945
Operating income	79.4	142.5	194.7	180.0
Net income	75.1	145.4	173.8	157.0
EPS (¥)	104.7	202.9	249.4	c.229
DPS (¥)	75	81	88	94

- Margin drivers: change orders on large domestic jobs, selective bidding, fewer legacy losses
- FY3/27: sales +13.9%, OP –7.5% as new jobs start at lower progress margins; gross margin guided 13.0%
- FY3/26: operating CF ¥253bn, investing –¥84bn†

Q1 FY3/27: profit doubled, but net income was gain-driven and orders fell

¥bn	Q1 FY3/27	Change	Comment
Sales	623.4	+19.0%	Backlog burn; GCON
Operating income	32.7	+107%	Margin 5.2% vs 3.0%
Ordinary income	36.4	+98%	19.9% of FY guide (norm 16.2%)
Net income	39.0	+116%	> OP: c.¥20bn securities gain
Orders	577.5	-7.2%	Soft; FY target ¥3.1tn

Consensus FY ordinary profit ¥193bn vs company guide ¥183bn: the Street was already above guidance†. Guidance unchanged.

What is unusual

- Net income above operating income twice running
- Sales +19% with orders -7%
- Stock fell to its YTD low *after* a strong print

Read-through

- Market is discounting margin peak and order slowdown, not Q1 earnings
- Management tone: measured; cautious on orders from FY3/28 (Middle East)
- Call transcripts not accessible: sentiment is headline-based

Cheaper than Japanese peers on EV/Sales, in line on P/E, expensive only on book

Metric	Obayashi	Kajima	Taisei	Shimizu	Vinci	Skanska	Balfour
EV/Sales	0.77x	1.03x	1.34x	0.63x	1.25x	0.52x	0.27x
EV/EBITDA	8.2x (7.0x adj)	10.8–12.3x	10.3x	8.2–8.4x	7.7x	15.4x	6.8x
EV/EBIT	10.3x	n/a	n/a	n/a	10.5x	14.7x	n/a
P/E	12.0x / 13.3x fwd	15.3x fwd	n/a	12.9x fwd	14x	20x	12.9x
EBIT margin	7.5%	7.7%	9.0%	5.8%	11.9%	3.5%	2.1%
Net debt/EBITDA	-0.3x (net cash)	n/a	n/a	n/a	n/a	n/a	n/a

Aggregator snippets, mixed dates; indicative. JGAAP (no IFRS 16) makes Obayashi's EV/EBITDA look cheaper than IFRS peers. Obayashi EV = market cap less net cash.

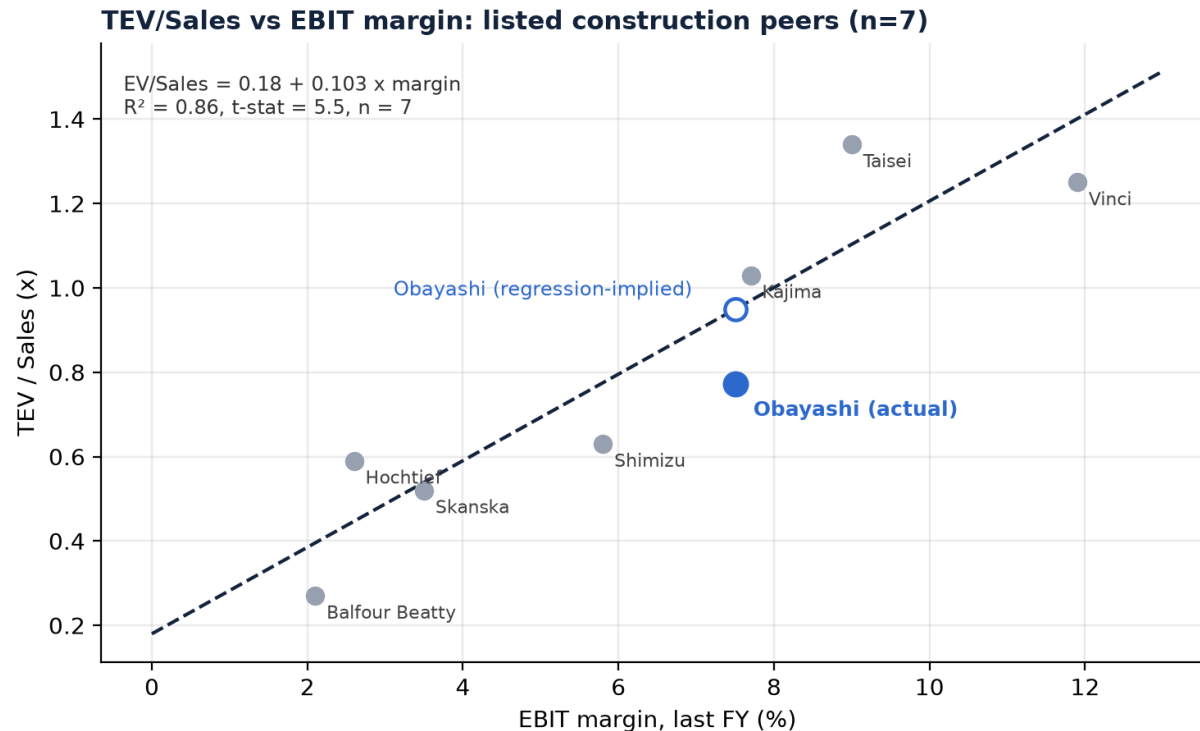
What the comparison shows

- Margin in line with Kajima, above Shimizu, yet P/E and EV/Sales trail Kajima and Taisei
- FCF yield proxy c.8%; net cash vs. levered global peers

The honest counter-read

- Book multiple 1.6x is high vs own history (c.0.6–1.0x for 2015–22†)
- Peer data is mixed-source; own-history multiples were not retrievable

The regression says c.23% undervalued, a smaller outlier than a luxury-peer set would suggest



Source: aggregator snippets (Marketscreener, TipRanks, Stockanalysis), mixed dates; indicative. Obayashi EV = mkt cap 2,081bn less net cash 84bn.

Why this is useful, and its limits

- R^2 0.86, t = 5.5 across 7 listed peers: margin explains most of EV/Sales
- Obayashi implied 0.95x vs 0.77x actual; implied value c.¥3,670/share (+22%)
- n = 7; Vinci and Taisei carry the slope; IFRS/JGAAP and mixed-date EVs
- Not a trade by itself: a margin-sustainability discount may be rational

EPS of ¥242 / 229 / 235 in FY3/27–29E; value range ¥2,354–4,564

Base case	FY3/27E	FY3/28E	FY3/29E
Sales (¥bn)	2,945	3,030	3,120
Operating income	192	197	206
OP margin	6.5%	6.5%	6.6%
Net income	166	155	158
Avg shares (m)	686	680	672
EPS (¥)	242	229	235
Bear / Bull EPS FY3/28E	¥167 / ¥259		

30% tax; gains ¥40bn / 20 / 15; buybacks cut shares c.1% a year; EBIT beats guidance by c.7% in FY3/27E.

Scenario (FY3/28E)	Bear 30%	Base 50%	Bull 20%
EBITDA (¥bn)	200	247	295
EV/EBITDA	6.5x	8.5x	9.5x
Value / share	¥2,354	¥3,530	¥4,564
vs ¥3,008	-22%	+17%	+52%

Probability-weighted **¥3,384** (+12%). Equity = EBITDA x multiple + net cash + 75% of cross-held shares. Regression cross-check ¥3,670.

Takeover is not the thesis: a ¥2tn target is 10x Japan's largest contractor deal

Comparable deals (EV/EBITDA)

Target / acquirer	Date	EV/EBITDA
Multiplex / Obayashi	Jun 2026	8.7–10.5x
Cupertino / Quanta	Jul 2024	c.9.1x
Miller Electric / EMCOR	Jan 2025	10.8x
CEC / Sterling	Jul 2025	9.6x
PayneCrest / Primoris	Mar 2026	c.10.5x
Superior / MasTec	Jul 2026	c.7.0x
TRC / WSP	Dec 2025	14.5x
Toyo / Taisei (premium 2.9%)	Aug 2025	n/a

US specialty median 9.6x; broader set median 10.1x. No Japanese deal disclosed EBITDA.

If a bid came

- 25–40% premium = ¥3,760–4,210; 10.3–11.6x EBITDA; 0.97–1.09x sales
- **Impediments:** size, licensing and client ties, JFTC, METI 2026 guidance on rejecting bids, no obvious financial buyer
- Probability within 12 months: <5%; no rumours found

Obayashi's own deals

- MWH (90%, c.US\$126m, Jan 2024); GCON (Dec 2025, undisclosed); Multiplex (US\$540m, closing c.30 Sep 2026†)

SK Telecom / Anthropic: 3,860,330 shares at 30 Jun 2026; carrying value KRW 3.505tn; c.0.24% (0.3% per Hana Securities). Unrelated to Obayashi.

Finance-trained CEO, family chairman, no controlling holder, one activist (2023)

Leadership

- **Toshimi Sato** (66), CEO since Apr 2025; finance and planning career; first non-engineer, non-family president
- **Takeo Obayashi** (72), chairman; family; 2.46% (c.¥51bn)
- **Kenji Hasuwa** (72), vice chairman; president 2018–25 after the Linear scandal
- Board: 6 of 10 outside and independent; 3 women; Tomita joined Jun 2026

Red flags

- Linear bid-rigging: ¥3.1bn surcharge, ¥200m fine, 4-month Tokyo suspension
- Oct 2024 tunnel injury; false statements to inspectors (¥200k fines, Mar 2026)
- No related-party or restatement issue found

Top holders (31 Mar 2026)†

Holder	%
Japan Master Trust	15.51
Custody Bank of Japan	7.26
State Street 505001 / 505103	3.66 / 2.60
Takeo Obayashi (insider)	2.46
Nippon Life	2.13
Employee association	1.83

Foreign c.40%. Activism: Silchester 2023 (¥12 special dividend; 26.8% support). Short interest negligible (margin short 75k shares).

Bull, bear and the contrarian read

Bull

- Oligopoly with labour-limited capacity: 13% gross margin defensible
- Data centres, fabs, resilience (¥20tn+), Linear Shizuoka
- 6–7% shareholder yield; ¥289bn cross-holding to monetise

Bear

- Each 1pt of OP margin = ¥29bn (c.13% of EPS)
- Fixed-price cost shock; Multiplex legacy; compliance event
- Underlying EPS ≈ ¥205–215, not ¥249

Pre-mortem: ¥2,000 by Oct 2027

- Two or three large jobs take provisions; FY3/27 OP slides to ¥150bn
- Orders –10%; peers discount; pricing discipline ends
- Multiplex goodwill and provisions of ¥20–30bn
- New plan cuts payout ambition

Contrarian: the market capitalises guided earnings as a normal downcycle. If guidance is again a sandbag and 13% is structural, the stock is c.10–11x underlying EPS, c.7x adjusted EV/EBITDA, with a 6–7% payout. The real risk is a few fixed-price jobs, not the margin level.

Accounting and disclosure red flags

Area	Observation	Risk
Revenue recognition	Cost-to-cost estimates; change orders drove FY3/26 profit	High
Earnings quality	Net income > OP in FY3/26 and Q1; securities-gain dependence will fade	High
Goodwill	GCON, MWH, Multiplex (c.¥86bn) add amortisation and impairment risk	Med-high
Contingencies	Bid-rigging legacy, overseas disputes, defect warranties	Med-high
Leases	JGAAP: off balance sheet; EV/EBITDA not comparable with IFRS peers	Medium
Cash flow	Operating CF ¥50bn–253bn over five years†: working-capital swings	Medium
Related parties / SBC	None found; stock compensation immaterial	Low

Items marked † unverified against a primary filing. Check the yuho notes on contract losses, segments, related parties and investment securities.

What to watch, next 9 months

Timing	Catalyst	What to watch
By 30 Sep 2026	Multiplex closing (unconfirmed)	Final price, net debt, goodwill
29–30 Oct	BOJ meeting	Rates and developer capex
Early/mid Nov	Q2 / H1 FY3/27 results	Orders, gross margin, guidance raise; interim DPS ¥47
17–18 Dec	BOJ; FY2027 budget	Resilience and public-works budget
c.9 Feb 2027	Q3 results	Guidance revision; gains
Mar 2027	Cross-holding 20% deadline	Residual sales; buyback completion
c.mid-May 2027	FY3/27 results; successor medium-term plan	ROE, payout, M&A framework
Late Jun 2027	123rd AGM	Board; proposals

Data caveat: Obayashi IR, EDINET and finance sites were blocked in this environment. Verify flagged figures against the FY3/26 tanshin, the 2026 Integrated Report and the yuho before sizing. Dates are inferred from prior years.